

Michigan Exam Prep: Licensing Requirements

STUDY SHEET

Top Takeaways

You can expect to see five questions related to Michigan real estate licensing requirements on your licensing exam.

Activities Requiring a License and Exemptions

- The following activities require a real estate license:
 - Selling, buying, providing market analyses for, listing, or negotiating the purchase, sale, exchange, or mortgage of real estate
 - Negotiating the construction of buildings or improvements on real estate
 - Leasing or renting real estate or improvements on real estate
 - Engaging in property management
 - Property management is the act of, for others and for compensation, offering to lease or rent real property in accordance with a property management employment contract.
 - The employment contract is a written agreement between a broker and client that engages the broker to act as a property manager for the client (the property owner). The agreement details the broker's duties, responsibilities, and tasks to be performed as the property manager. It also details the handling of property management funds and accounts.
 - Unlicensed employees working under a real estate broker's supervision can perform some administrative actions related to real estate, including collecting rent or providing lease applications. However, unlicensed individuals can't negotiate rent, explain lease terms, or perform other activities requiring licensure.
 - Selling, buying, leasing, or negotiating the purchase, sale, or exchange, or offering to perform any of these activities for a business, a business opportunity, or the goodwill of an existing business
 - Engaging in the sale of real estate as a principal vocation, whether doing so as the owner of the real estate or not
- The following activities are exempt from real estate licensure:
 - Buying, selling, leasing, renting, or performing other real estate-related negotiations or transactions on an individual's own behalf
 - For example, someone selling their own property generally doesn't need a real estate license to do so.
 - A license is required if the individual is making a full- or part-time profession of these activities. This means engaging in more than five sales during a 12-month period, representing to the public a regular engagement in real estate sales, or spending more than 50% of work time-more than 15 hours weekly in a six-month period-engaging in real estate sales.
 - Performing duties as a licensed attorney at law
 - Acting as an attorney-in-fact or power of attorney for an owner or lessor, unless doing so as a professional and without hiring a licensed broker
 - Performing duties as a receiver, bankruptcy trustee, executor, administrator, or person selling property under court order
 - Selling property as a trustee under a deed of trust, unless that trustee repeatedly sells real estate without a licensed broker
 - Mortgage brokers, lenders, and servicers who don't perform any other activities requiring licensure
 - Owners who are licensed as residential builders or residential maintenance and alteration contractors and are selling detached single-family dwellings, duplexes, triplexes, or quadruplexes that they built and that have never been occupied

Types of Licenses

- Real estate broker: an individual or entity that, for others and for compensation, performs or offers to perform the following activities as a whole or partial vocation (or profession):
 - Selling, buying, providing market analyses for, listing, or negotiating the purchase, sale, exchange, or mortgage of real estate
 - Negotiating the construction of buildings or improvements on real estate
 - Leasing or renting real estate or improvements on real estate
 - Engaging in property management
 - Selling, buying, leasing, or negotiating the purchase, sale, or exchange, or offering to perform any of these activities, for a business, a business opportunity, or the goodwill of a business
 - Engaging in the sale of real estate as a principal vocation, whether doing so as the owner of the real estate or not
- Real estate salesperson: an individual who, for others and for compensation, performs real estate services on behalf and under the supervision of a real estate broker.
- Real estate associate broker: an individual who meets the licensing requirements of a broker, but is licensed differently and performs real estate services on behalf and under the supervision of a real estate broker.
- Salespersons and associate brokers may work as either independent contractors or employees.
- While a broker may be an individual or an entity, a salesperson or associate broker can only be an individual.

- Broker's licenses may be issued to a sole proprietorship, partnership, association, corporation, limited liability company (LLC), common law trust, or any combination of these. For these entities, individuals designated as principals can perform real estate activities.
- A principal can be a sole proprietor; a partner in a partnership or limited partnership; an officer, director, or shareholder in a corporation; or a member or manager of an LLC.
- Each principal must obtain an associate broker license before performing real estate activities.
- If the principal associate broker quits, the associate broker license is suspended.
- Associate brokers and salespersons can associate with a real estate broker as either an employee or an independent contractor. Associating as an independent contractor doesn't remove a broker's duty to supervise the licensee.
- To be associated as an independent contractor:
 - A written agreement must be in place between the broker and associated licensee that states the licensee isn't an employee for federal or state income tax purposes.
 - At least 75% of the annual compensation paid by the broker to the licensee must be from commissions related to real estate transactions.

Eligibility for Licensing

- Any individual applying for a real estate license in Michigan must be at least 18 years of age and be of good moral character.
- To receive a broker's license:
 - An application must be submitted after passing the broker licensing exam.
 - The individual, or an individual designated as principal of a business entity, must complete 90 hours of pre-licensing education, which:
 - Includes nine hours on civil rights and fair housing.
 - Does NOT include the 40 hours required for salesperson licensure.
 - Must be completed within the 36 months immediately preceding the application date, unless an active salesperson license was held during that period.
 - May be waived by the department if the applicant has a law degree, a bachelor's degree in business or finance, or a master's degree in business or finance. Other educational credentials can be reviewed by the department in consultation with the board.
 - The individual must have at least three years of full-time experience in real estate. The following activities count towards the experience requirement:
 - One year of credit for each 12-month period licensed as a salesperson during which five or more real estate transactions were closed
 - One year of credit for each 12-month period as a builder during which the individual built and sold or leased at least five residential, commercial, and/or industrial units
 - Six months of credit for every five real estate transactions closed when acting as an investor. A maximum of one year can be credited. An individual who performed more than five transactions in a 12-month period while unlicensed won't be credited
 - One year of credit for every two developments or subdivisions of at least 10 units or parcels when acting as a land or condo developer. The individual must've bought, subdivided, and improved the lots or units
 - One year of credit for every six real estate transactions when acting as an attorney
 - One year of credit for acting as a real estate appraiser for at least 40 hours per week, for at least 48 weeks in the year
 - One year of credit for real estate acquisition-, financing-, or conveyance-related positions, when working at least 40 hours per week, for at least 48 weeks in the year; positions include a loan or trust officer, real estate officer of a corporation, or title insurance company officer engaged in closings
 - Other credit options will be reviewed by the department in consultation with the board.
- The department won't issue a broker's license to anyone who has been convicted of embezzlement or misappropriation of funds.
- Those seeking a salesperson license must first submit an application to the department to receive authorization to take the salesperson licensing examination, which must be passed before a license will be issued.
- Salesperson license applicants must provide proof of completing 40 hours of pre-licensing education, including at least four hours in civil rights and equal opportunity housing. This coursework must be completed within the 36 months immediately preceding application.
- A salesperson's license application must be signed by the broker the applicant will associate with.
- Upon license approval, the department will issue a license and pocket card. Individuals can't perform real estate activities until the license or pocket card is received. Individuals must have their pocket card (digital or photocopies are also acceptable) on them when performing real estate activities.
 - Salespersons' licenses and pocket cards are sent to the broker, who keeps the license along with other associated licensees' licenses and gives the pocket card to the salesperson.
- A salesperson can only hold one license and can only be associated with one broker.
- Principal associate brokers can hold more than one license, but non-principal associate brokers can only hold one license.

License Renewal, Including Continuing Education

- Licenses must be renewed by October 31 triennially (every three years).
- During each three-year license cycle, licensees must complete 18 hours of continuing education (CE).
 - At least two hours each year must be related to real estate laws, rules, and court cases.

- Brokers and salespersons who become initially licensed during the second year of the three-year cycle are required to complete only 12 hours of CE.
- Brokers and salespersons who become initially licensed during the third year of the three-year cycle are required to complete only six hours of CE.
- To renew a license, the individual must submit a renewal application and renewal fee to the department by the renewal deadline.
- If a license expires, an individual can still renew without retaking the licensing examination if all of the following are true:
 - It's been less than three years since the license expired.
 - The individual pays a late renewal fee in addition to the other required fees.
 - The individual completes six hours of CE for each year or partial year since the license expiration.
- If more than three years have passed since license renewal, the department may reissue a license if any (not all) of the following are met:
 - Broker or associate broker has:
 - Completed six hours of CE for each year or partial year since the license expiration.
 - Completed 90 hours of pre-licensing education in the 12-months preceding application.
 - Passed the real estate broker licensing exam.
 - A salesperson has:
 - Completed six hours of CE for each year or partial year since the license expiration.
 - Completed 40 hours of pre-licensing education in the 12-months preceding application.
 - Passed the real estate salesperson licensing exam.
- If a license is revoked, the individual must wait at least three years from the date of revocation to apply for a new license. The individual must meet all the education and licensing exam requirements in effect at the time of license application.

Transfer or Change in License

- Licensees must give written notice to the department when a principal or branch office location changes.
- If a salesperson or associate broker license is suspended or revoked, the broker must return the license and the individual licensee must return the pocket card to the department. If a broker's license is suspended or revoked, the broker's license and pocket card, the licenses and pocket cards of all associated licensees, and branch office licenses must be returned to the department by the broker.
- Salespersons may only affiliate with one broker at a time. An individual can't hold both a salesperson and broker or associate broker license at the same time.
- Salespersons and non-principal associate brokers may transfer to a new broker by submitting an application and appropriate fees to the department. The new broker must sign this application.
 - The licensee's pocket card provides sufficient evidence of licensure for 45 days while the department processes the application and issues the license to the new broker. A new license will be sent to the new broker within seven days of transfer approval.
 - If the department notifies the licensee that the transfer application is incomplete, then the pocket card isn't valid and the licensee must wait until the new broker receives the license and pocket card before performing real estate activities.
- If a licensee is discharged or terminates employment with a broker and written notice is provided, the broker has five days to mail the license back to the department. If the licensee doesn't notify the broker, then the department will notify the broker in writing if it has received a transfer application from the licensee.
 - Once the license has been returned to the department, the broker must notify the licensee in writing at the licensee's last known personal address. A copy of this notice must be provided along with the license when the broker returns it to the department.
- Broker and principal associate broker licenses aren't transferable.
- If a broker's license is revoked, the licenses of all associated licensees are automatically suspended until they transfer to a new, licensed broker. The department will issue new licenses for these individuals without fee if done within the current license cycle.
- If a broker dies or becomes disabled, the department allows associated licensees reasonable time to wrap up the broker's business or to identify a new broker.

Michigan Laws and Rules

The Candidate Information Bulletin lists the Michigan Laws and Rules you should be familiar with when preparing for the licensing exam. While we've summarized the laws related to the topics included in this study sheet, you may also find it helpful to read through the laws. Check out the Examination Study Materials section of the bulletin for more information.